Farmer Corn Brief

Week of September 3, 2026

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Nearby corn: $5.152/bu (+$0.050 (+1.0%) week)
Narrative created: September 4, 2026

Nearby futures from Yahoo Finance. Nearby corn is the market's current perception of yield and demand risk.

Contract	Last	Week change	As of
Nearby corn	$5.152/bu	+$0.050 (+1.0%)	September 3, 2026
RBOB gasoline	$3.135/gal	-0.249 (-7.4%)	September 3, 2026
Henry Hub	$2.913/MMBtu	+0.006 (+0.2%)	September 3, 2026

Where we are

The 2026/27 corn marketing year began September 1. Harvest logistics and December futures now control the new-crop decision.

USDA’s August balance sheet remains the official crop regime: **16.013 billion bushels**, a **180.7-bushel national yield**, and **1.653 billion bushels of ending stocks**. Pro Farmer’s **173.2-bushel yield** and **15.344-billion-bushel crop** remain the principal field-based challenge. The disagreement will not be settled until USDA’s September 11 Crop Production and WASDE reports. (USDA, *WASDE-674*, August 12, 2026; Pro Farmer, *2026 U.S. Corn Crop Estimate*, August 21, 2026) (s3.amazonaws.com)

Nearby corn finished at **$5.152 per bushel**, up **5 cents**, or **1.0%**, from August 27. December new-crop closed at **$5.4075**, up **7¼ cents**, or 1.4%, from $5.335. December carried about **25½ cents** over nearby, roughly **2¼ cents more carry** than last week. (Successful Farming, *Grains Fight Back From Early Losses*, September 3, 2026) (agriculture.com)

The week in one page

- **The market held the crop-risk premium.** Nearby gained another 5 cents after last week's 31½-cent rally. The board did not validate Pro Farmer's full yield cut, but it did not give the premium back.
- **This week's field evidence narrowed the yield argument slightly.** A private producer survey estimated **178.7 bushels per acre**, between USDA and Pro Farmer. National G2E held at 57%, while Nebraska improved 3 points to 58%. (nationallivestock.websol.barchart.com)
- **EPA granted substantial refinery waivers, but promised to propose full reallocation of the incremental exempted volume.** That limits the case for treating the decision as a permanent loss of ethanol demand, although the reallocation is not final. (epa.gov)
- **New-crop export sales accelerated.** The September 3 report showed **1.986 million metric tons** of 2026/27 sales, a marketing-year high and only 6.2% below the comparable week last year. (kqlx-radio.websol.barchart.com)
- **Ethanol plants kept running despite a 7.4% break in RBOB.** Production was nearly steady, stocks declined and blender inputs increased. That supports the current corn bid, though cheaper gasoline is now the demand risk to watch. (eia.gov)

Verdict: This week made it modestly easier to raise your average sale price. The board added another 5 to 7¼ cents. Sell an increment, not the whole crop.

Exposure	Current signal	Change from last week	Marketing read
Unpriced new-crop	Crop uncertainty remains priced	December +7¼ cents	Add an incremental futures sale
Stored old-crop	Harvest is near; nearby rallied	Nearby +5 cents	Reward the board; do not drift through harvest
Harvest storage	25½-cent Dec carry over nearby	Carry widened 2¼ cents	Storage needs matching basis improvement
Ethanol bid	Run steady; basis highly local	No broad demand break	Shop plants before setting basis

1. The yield disagreement survived, but it did not widen

What happened

No new USDA production survey was released. The new private evidence was less bearish than Crop Tour: an Allendale producer survey estimated **178.7 bushels per acre** and a **15.833-billion-bushel crop**. That is 2 bushels below USDA, but 5½ bushels above Pro Farmer. (nationallivestock.websol.barchart.com)

Crop ratings also stopped deteriorating. National corn remained **57% G2E**. Nebraska rose from 55% to **58% G2E**. Nebraska was 63% dented, near the 65% average, but only **4% mature** versus a 14% five-year average. (USDA NASS, *Crop Progress*, August 31, 2026) (esmis.nal.usda.gov)

UNL's August 25 yield-potential update showed why a single Nebraska number is inadequate. Forecasts remained below long-term potential at Beatrice, Concord, Elgin, Mead and several western dryland sites, while irrigated Holdrege and dryland Clay Center were near or above potential. (UNL CropWatch, *2026 Corn Yield Forecasts as of Aug. 25*) (cropwatch.unl.edu)

Why it matters for a long-corn producer

The new evidence does not confirm Pro Farmer's 173.2. It does confirm wide field-to-field variation. Nearby corn's 5-cent gain says the trade retained yield risk rather than dismissing it.

What to do with it

New-crop: Recheck expected production by field and water regime. Price another increment against December where the crop is defensible. Do not let strong irrigated fields cover sales that stressed dryland acres may not produce.

Old-crop: The remaining crop-risk premium is available today. Use it rather than carrying 2025 corn into harvest on hope.

Watch next

September 11 is the next report capable of repricing the national crop and carryout.

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2. EPA resolved the waiver question but left reallocation unfinished

What happened

On August 31, EPA acted on 34 small-refinery petitions for the 2025 compliance year. It granted 18 full exemptions and 11 partial exemptions, denying or finding ineligible five petitions. The action exempted **1.76 billion RINs**.

EPA had previously assumed 990 million exempted RINs. It said it will propose, before the end of October, to reallocate 100% of the difference into the 2026 and 2027 RVOs. (EPA, *Action on 2025 Small Refinery Exemptions*, August 31, 2026) (epa.gov)

Why it matters for a long-corn producer

The waivers can pressure RIN values and blend incentives in the near term. But this is not automatically a 1.76-billion-RIN permanent demand loss. Roughly 770 million RINs exceed EPA's prior assumption, and the agency intends to reallocate that difference.

The policy risk therefore changed. The question is no longer whether waivers will be granted. It is whether EPA's reallocation proposal is timely, enforceable and ultimately finalized.

What to do with it

Do not panic-set a poor harvest basis because of the waiver headline. If the board pays, set futures. Leave basis open unless your plant or elevator actually cuts its bid.

Watch next

Watch the reallocation proposal, RIN prices and—most importantly—the cents under or over at your ethanol plant.

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3. Wider carry makes storage possible, not automatically profitable

What happened

December gained 7¼ cents versus a 5-cent increase in nearby, widening the spread to about **25½ cents carry**.

Public Nebraska ethanol quotes remained highly location-specific. Grainformant's Nebraska summary changed only 1 cent over seven days, while listed early-September bids at ADM Columbus and KAAPA's Ravenna and Minden plants were 30 to 35 under December. Scoular's Madrid quote was much firmer at **5 under for harvest** and **even December** for December delivery. (Grainformant, September 3, 2026; Scoular Madrid cash bids, September 3, 2026) (grainformant.com)

Why it matters for a long-corn producer

The board offers more carry, but the cash market decides whether you collect it. A 30-under plant and an even plant are different marketing plans, not rounding error.

What to do with it

New-crop: Price more December futures into strength. If harvest basis is weak, use an HTA or short hedge and wait to set basis. If your plant is near even December, the forward cash bid deserves attention.

Old-crop: Do not roll old corn through harvest without comparing the full cash bids, interest, shrink and handling. The board's carry is not yours until the cash spread pays it.

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4. Export sales improved enough to support the rally

What happened

New-crop sales for the week ended August 27 were **1.986 million metric tons**, up from 1.066 million the prior week. Mexico bought 665,000 tons, Japan 371,800 and unknown destinations 353,300. (kqlx-radio.websol.barchart.com)

Adding the weekly sale to the previous cumulative total puts commitments near **14.4 million metric tons**, or about **569 million bushels**—roughly 17% of USDA's 3.275-billion-bushel annual forecast.

Why it matters for a long-corn producer

Last week, exports were the weak leg under a bullish yield story. This print reduced that concern. It did not eliminate it. The annual forecast still assumes record-scale demand, and cumulative sales remain below last year.

What to do with it

Treat stronger sales as support for the crop premium, not as a reason to leave all bushels unpriced. Export demand is helping the rally. Use the rally to cover more breakeven.

5. Ethanol demand held while gasoline prices broke

What happened

EIA reported ethanol production at **1.110 million barrels per day**, down 2,000. Stocks declined **171,000 barrels** to **25.035 million**, while refiner and blender inputs rose 17,000 barrels per day to **940,000**. (EIA, *Weekly Petroleum Status Report*, September 2, 2026) (eia.gov)

RBOB gasoline fell **24.9 cents per gallon**, or **7.4%**, during the week. Natural gas was essentially unchanged.

Why it matters for a long-corn producer

The current run rate still requires corn, and the inventory draw is better than last week's stock build. But cheaper gasoline can eventually pressure ethanol economics. The local-bid evidence does not yet show a broad procurement retreat.

What to do with it

Shop the ethanol plants. Set basis where the bid is firm. Where it is not, sell the board and keep control of the basis decision.

The crop you still have to market

Old-crop in bins: Harvest is close. Nearby gained another 5 cents. Move additional old-crop where basis is respectable. Do not carry it into the new-crop flow without a written return-to-storage calculation.

New-crop still growing: The yield argument remains unresolved, but December is above $5.40. Price another increment after re-sizing expected production. Separate the futures sale from the basis sale unless your local bid is already competitive.

Bottom line

The decision that changed this week is not to chase the rally. It is to **use the extra 5 to 7¼ cents**. Price another piece of new-crop on December and clear more old-crop before harvest congestion. EPA policy is less damaging than the waiver headline alone suggests, exports improved, and ethanol plants are still running. The next event capable of changing the view is USDA's September 11 yield and carryout update.